fund. Unlevered performance figures, when presented alongside levered performance figures, will provide investors with more meaningful data and improve the comparability of returns.

We stated in the proposal that we would generally interpret the phrase computed without the impact of fund-level subscription facilities to require advisers to exclude fees and expenses associated with the subscription facility, such as the interest expense, when calculating net performance figures and preparing the statement of contributions and distributions. One commenter suggested that excluding subscription line fees and expenses from net performance should be optional, rather than required.[376] On the contrary, allowing such flexibility would degrade comparability and standardization. In addition, this approach is appropriate because it will result in returns that show what the fund would have achieved if there were no subscription facility, which will help investors understand the impact of the use of the subscription facility.

While there may be certain circumstances under which including subscription line fees and expenses in unlevered performance metrics may have advantages, standardization is important. If we were to make the exclusion of subscription line fees and expenses from net performance for illiquid funds optional instead of required, some advisers might include such fees and expenses while others might exclude them. This variability could make it difficult for investors to assess unlevered performance metrics across illiquid funds that are managed by different advisers. Additionally, some advisers might start by including subscription line fees and expenses from unlevered performance metrics and then switch to excluding such fees and

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[376] *See* CFA Comment Letter I. This commenter stated that it could be challenging to identify all activity related to these subscription facilities for those advisers that have not previously calculated internal rates of return without the impact of subscription facilities, particularly for funds with long histories. While we acknowledge these calculations could be challenging in certain instances, we believe these burdens are justified by the benefits of improved comparability and standardization across quarterly statements. Moreover, we also believe that these challenges will lessen as older funds wind down.

expenses if there was a downward trend in performance. This potential gamesmanship could mislead investors. Accordingly, we are not allowing such optionality.

Fund-Level Performance. The rule requires an adviser to disclose an illiquid fund's gross and net internal rate of return and gross and net multiple of invested capital for the illiquid fund. We are adopting the entirety of this portion of the rule, including all definitions discussed below, as proposed.

Some commenters supported this performance disclosure requirement as providing a useful component in the totality of information that would be required to be provided to private fund investors under the rule.[377] Other commenters criticized this performance disclosure requirement on a number of grounds.[378] One commenter stated that we should prohibit the use of internal rates of return and multiples of invested capital because they can be flawed performance metrics,[379] and another commenter indicated that these performance metrics may not be meaningful in the early stages of a fund until it has had time to deploy its capital and generate returns.[380] Finally, certain commenters stated that advisers and investors should retain discretion to determine appropriate performance metrics.[381]

We recognize that most illiquid funds have particular characteristics, such as irregular cash flows, that make measuring performance difficult for both advisers and investors. We also recognize that internal rate of return and multiple of invested capital have their drawbacks as

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377 *See, e.g.*, ICCR Comment Letter; AFREF Comment Letter I; NEA and AFT Comment Letter.

378 *See, e.g.*, SBAI Comment Letter; PIFF Comment Letter; AIMA/ACC Comment Letter.

379 *See* Comment Letter of SOC Investment Group (Apr. 25, 2022) ("SOC Comment Letter").

380 *See* AIC Comment Letter II.

381 *See, e.g.*, PIFF Comment Letter; SBAI Comment Letter.

performance metrics.[382] Nonetheless, we continue to believe that, received together, these metrics complement one another.[383] Moreover, these metrics, combined with a statement of contributions and distributions reflecting cash flows discussed below, will help investors holistically understand the fund's performance, allow investors to diligence the fund's performance, and calculate other performance metrics they may find helpful. When presented in accordance with the conditions and other disclosures required under the rule, such standardized reporting measures will provide meaningful performance information for investors, allowing them to compare returns among funds that they are invested in and make more-informed decisions with respect to, for example, other components of their portfolios or whether or not to invest with the same adviser in the future. Accordingly, we are adopting this aspect of the rule as proposed.

As proposed, we are defining "internal rate of return" as the discount rate that causes the net present value of all cash flows throughout the life of the private fund to be equal to zero.[384] Cash flows will be represented by capital contributions (*i.e.*, cash inflows) and fund distributions (*i.e.*, cash outflows), and the unrealized value of the fund will be represented by a fund distribution (*i.e.*, a cash outflow). This definition will provide investors with a time-adjusted

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382 Primarily, multiple of invested capital does not factor in the amount of the time it takes for a fund to generate a return, and internal rate of return assumes early distributions will be reinvested at the same rate of return generated at the initial exit.

383 By receiving both an internal rate of return and a multiple of invested capital, an investor will be able to use each performance metric to assess the limitations of the other. For example, a high multiple of invested capital but a low internal rate of return likely means that returns are low compared to the length of time the investment has been held. Similarly, a high internal rate of return but a low multiple of invested capital likely means that the investment was not held long enough to generate substantial returns for the fund.

384 Final rule 211(h)(1)-1 (defining "gross IRR" and "net IRR").

return that takes into account the size and timing of a fund's cash flows and its unrealized value at the time of calculation.[385]

We are defining "multiple of invested capital" as (i) the sum of: (A) the unrealized value of the illiquid fund; and (B) the value of all distributions made by the illiquid fund; (ii) divided by the total capital contributed to the illiquid fund by its investors.[386] This definition will provide investors with a measure of the fund's aggregate value (*i.e.*, the sum of clauses (i)(A) and (i)(B)) relative to the capital invested (*i.e.*, clause (ii)) as of the end of the applicable reporting period, as proposed. Unlike the definition of internal rate of return, the multiple of invested capital definition does not take into account the amount of time it takes for a fund to generate a return (meaning that the multiple of invested capital measure focuses on "how much" rather than "when").

We received few comments on the proposed definitions, with one commenter stating that neither definition takes into account the timing of fund transactions.[387] Another commenter argued that definitions were unnecessary because investors have their own methods for calculating internal rate of return and multiple of invested capital, and that advisers typically provide investors with sufficient information to calculate performance already.[388] After considering comments, we believe that the proposed definitions of internal rate of return and

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385 When calculating a fund's internal rate of return, an adviser will need to take into account the specific date a cash flow occurred (or is deemed to occur). Certain electronic spreadsheet programs have "XIRR" or other similar formulas that require the user to input the applicable dates.

386 Final rule 211(h)(1)-1 (defining "gross MOIC" and "net MOIC").

387 *See* Comment Letter of XTAL Strategies (Feb. 28, 2022) ("XTAL Comment Letter"). As discussed in greater detail below in Section VI.C.3, this commenter provided examples where multiple funds with different distribution timings had the same internal rates of return. However, we were not persuaded by this commenter because the fact that it is possible to construct examples in which two funds with different timings of payments can have the same internal rates of return does not mean that such performance metric broadly fails to take into account the timing of transactions.

388 *See* AIC Comment Letter II.

multiple of invested capital are appropriate because they will promote comparability and standardization. As stated in the proposal, the definitions are generally consistent with how the industry currently calculates such performance metrics. By adopting definitions that are widely understood and accepted in the industry, the rule will decrease the risk of advisers presenting internal rate of return and multiple of invested capital performance figures that are not comparable. Furthermore, the rule will not prevent an adviser from providing information or performance metrics in addition to those required by the rule (subject to other requirements applicable to the adviser) or an investor from using such additional information or metrics for its own calculations.

As proposed, the final rule requires advisers to present each performance metric on a gross and net basis.[389] Commenters were generally supportive of this requirement.[390] Presenting both gross and net performance measures will help prevent investors from being misled. Gross performance will provide insight into the profitability of underlying investments selected by the adviser. Solely presenting gross performance, however, may imply that investors have received the full amount of such returns. The net performance will assist investors in understanding the actual returns received and, when presented alongside gross performance, the negative effect fees, expenses, and performance-based compensation have had on past performance.

Statement of Contributions and Distributions. The rule also requires an adviser to provide a statement of contributions and distributions for the illiquid fund reflecting the

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389 Final rule 211(h)(1)-2(e)(2)(ii).

390 *See, e.g.*, NEA and AFT Comment Letter (noting "[s]tandardized reporting of the internal rate of return (IRR) and the multiple of capital (MoC) invested, both gross and net of fees and considering the use of subscription credit lines, would mark a leap forward in transparency."); *see also* AFL-CIO Comment Letter; ICM Comment Letter; ILPA Comment Letter I.

aggregate cash inflows from investors and the aggregate cash outflows from the fund to investors, along with the fund's net asset value, as proposed.[391]

We are defining a statement of contributions and distributions as a document that presents:

(i) All capital inflows the private fund has received from investors and all capital outflows the private fund has distributed to investors since the private fund's inception, with the value and date of each inflow and outflow; and

(ii) The net asset value of the private fund as of the end of the reporting period covered by the quarterly statement.[392]

Some commenters supported the requirement to provide a statement of contributions and distributions.[393] Other commenters criticized specific parts of this requirement.[394] One commenter suggested that the statement of contributions and distributions would be of limited value to private fund investors and is not often currently requested by private fund investors,[395] whereas another commenter conversely suggested that private fund investors typically already receive information beyond what we are requiring to be included in the statement of contributions and distributions.[396] Another commenter suggested that we provide flexibility with

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391 At proposal, the statement of contributions and distributions requirement was listed as rule 211(h)(1)-2(e)(2)(ii)(A)(*4*). At adoption, we have changed the statement of contributions and distributions requirement to rule 211(h)(1)-2(e)(2)(ii)(B). We have made this change for clarification as a statement of contributions and distributions is not a "performance measure" that can be "computed" as rule 211(h)(1)-2(e)(2)(ii)(A) is phrased.

392 Final rule 211(h)(1)-1.

393 *See, e.g.*, CFA Comment Letter I; OFT Comment Letter.

394 *See, e.g.*, IAA Comment Letter II; PIFF Comment Letter.

395 *See* IAA Comment Letter II.

396 *See* ILPA Comment Letter I.

respect to the requirement that the statement of contributions and distributions include the date of each cash inflow and outflow, in light of the possibility that older cash flow information may have been recorded by certain advisers using legacy systems that assumed that all cash flows during a certain period occurred on the last day of such period.[397]

We believe that the statement of contributions and distributions will provide private fund investors with important information regarding the fund's performance, because it will reflect the underlying data used by the adviser to generate the fund's returns, which, in many cases, is not currently provided to private fund investors. Such data will allow investors to diligence the various performance measures presented in the quarterly statement. In addition, this data will allow the investors to calculate additional performance measures based on their own preferences.

Some commenters suggested that subscription facility fees and expenses should be included in the statement of contributions and distributions.[398] At proposal, we had required private fund advisers to exclude such fees and expenses because we had proposed to require only unlevered performance metrics for illiquid funds and believed that the statement of contributions and distributions should directly align with these unlevered performance metrics. As we are requiring both levered and unlevered performance to be included in the quarterly statement for illiquid funds under the final rule, advisers should consider including in the statement of contributions and distributions any fees and expenses related to a subscription facility.

One commenter suggested that we should require additional detail in the statement of contributions and distributions.[399] We believe that it is important that the statement of

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397 *See* CFA Comment Letter II.

398 *See, e.g.*, CFA Comment Letter I; AIC Comment Letter II.

399 *See* XTAL Comment Letter. This commenter specifically suggested we require the inclusion of additional information such as uncalled commitment, cumulated distributions, and net of performance fee accruals.

contributions and distributions provide sufficient information to enable investors to conduct due diligence on the various performance measures presented in the quarterly statement and to potentially perform their own additional performance calculations. Investors will need the dates and amounts of subscription facility drawdowns to be able to calculate unlevered returns. As such, we view these dates and amounts as providing investors critical information necessary to perform these calculations on their own. Although we are not prescribing additional particular information to be disclosed beyond what was included in the proposal, advisers may wish to consider also providing other details they believe investors would find relevant in the statement of contributions and distributions, such as information about how each contribution and distribution was used and the dates of drawdowns from fund-level subscription facilities.

Realized and Unrealized Performance. As proposed, the rule also requires an adviser to disclose a gross internal rate of return and gross multiple of invested capital for the realized and unrealized portions of the illiquid fund's portfolio, with the realized and unrealized performance shown separately. [400]

Some commenters supported this requirement to disclose realized and unrealized performance metrics for illiquid funds as contributive to the policy goals of transparency and comparability of private fund investments promoted by the rule.[401] Other commenters suggested, however, that this requirement could serve to undermine these goals and prove unhelpful to private fund investors, because disaggregating an illiquid fund's realized performance and its

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While they are helpful, we view these additional requirements as potentially overly burdensome relative to their benefits since they are not necessary for investors to diligence the performance measures presented in the quarterly statement.

400 Final rule 211(h)(1)-2(e)(2)(ii)(A)(*3*).

401 *See, e.g.*, ILPA Comment Letter I; AFL-CIO Comment Letter; AFREF Comment Letter I; CFA Comment Letter I.

unrealized performance ultimately may involve subjective determinations[402] and will depend on the specific facts and circumstances.[403] One commenter stated that, if we adopt this requirement, we should also provide a detailed methodology for calculating realized and unrealized performance.[404] Other commenters suggested allowing advisers to take a flexible approach with respect to determining what investments are realized versus unrealized provided that their methodology is properly documented and disclosed.[405]

We recognize that it may be difficult to determine whether a partially realized investment has been realized under the final rule, for example, following a significant dividend recapitalization where the fund recoups all or a substantial portion of its initial investment. We continue to believe, however, that disclosure of realized and unrealized performance will provide investors with important context for analyzing the adviser's valuations and for weighing their impact on the fund's overall performance.[406] As a result, we believe that the burden associated with determining whether a partially realized investment should be categorized as realized or unrealized is justified by the benefits that this performance data will provide to investors.

We recognize that categorizing a partially realized investment as realized or unrealized for purposes of the rule will depend on the facts and circumstances and may not always be purely

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402 *See, e.g.*, AIC Comment Letter I; AIC Comment Letter II; IAA Comment Letter II; SBAI Comment Letter.

403 *See, e.g.*, AIC Comment Letter II; ATR Comment Letter.

404 *See* NCREIF Comment Letter.

405 *See, e.g.*, AIC Comment Letter II; SBAI Comment Letter; CFA Comment Letter I.

406 As stated in the proposal, the value of the unrealized portion of an illiquid fund's portfolio typically is determined by the adviser and, given the lack of readily available market values, can be challenging. This creates a conflict of interest wherein the adviser may be evaluated and, in certain cases, compensated based on the fund's unrealized performance. Further, investors often decide whether to invest in a successor fund based on a current fund's performance as reported by the adviser. These factors create an incentive for the adviser to inflate the value of the unrealized portion of the illiquid fund's portfolio. *See* Proposing Release *supra* footnote 3, at n.9, 74-75.

objective. We agree with commenters that it is valuable for advisers to have some discretion in determining whether an investment has been realized for purposes of the rule based on the specific facts and circumstances, provided that their methodology is properly documented.[407] It is also important that advisers remain consistent in how they determine realized and unrealized investments and that they provide sufficient disclosure to investors about the methodology and criteria they use to achieve consistency in their determinations. We do not believe it is appropriate to set a bright-line standard or otherwise prescribe detailed methodology for making this determination because any such standard or methodology may lead to less useful reporting for investors.[408] For example, it is our understanding that the methodologies used by private equity buy-out funds, private credit funds,[409] and their respective investors to determine realization can vary considerably. A private equity buy-out fund and its investors may seek to analyze realization as it relates to the sale of a portfolio company (or return of a certain amount of proceeds relative to the amount invested or anticipated to be invested), whereas a private credit fund and its investors may seek to analyze realization as it relates to a paydown of a portion of the principal balance of a loan. If we were to prescribe one methodology for both of these funds and their investors, it may lead to scenarios in which there is a conflict between how

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407 The methodology used to determine whether an investment is realized or unrealized is an important criterion to calculate this required performance information. Accordingly, it must be prominently disclosed in the quarterly statement. Final rule 211(h)(1)-2(e)(2)(iii).

408 For example, if we were to set an 100% threshold for determining when an investment has been fully realized, this may lead to reporting that is too high as compared to what investors have negotiated for or what they have come to expect for certain private funds (or too low if we set the percentage threshold lower). If we were to establish a realization test based on a different trigger (*e.g.*, the sale of a portfolio investment) it might not be applicable for certain kinds of private funds (*e.g.*, private credit funds that primarily make loans).

409 These examples refer to private credit funds that issue equity interests to investors and invest in debt instruments privately issued by companies.